

SCAM

1992

BIGGEST MANIPULATION OF INDIA'S FINANCIAL SYSTEM



THE SCAM'S STRATEGY & LEGACY

HOW IT HAPPENED?

- Harshad Mehta manipulated Ready Forward (RF) deals, which were interbank loans backed by government securities.
- Banks transferred funds to Mehta's account, assuming he was brokering genuine transactions.
- Used fake bank receipts as a false representation of the ownership of securities to raise further funds
- Diverted these funds into equities, thereby artificially increasing up stock prices of blue-chip firms like ACC and Videocon.

WHEN DID IT HAPPEN?

- 1984-89: Harshad enters stockbroking, learns the system.
- 1990: Spots banking loopholes, starts big trades.
- 1991: Bull run takes off; Sensex surges.
- Early 1992: Becomes "The Big Bull."
- Mid-1992: Fake BRs and fund misuse surface.
- April 1992: Scam exposed; markets crash; CBI takes over; reforms begin.

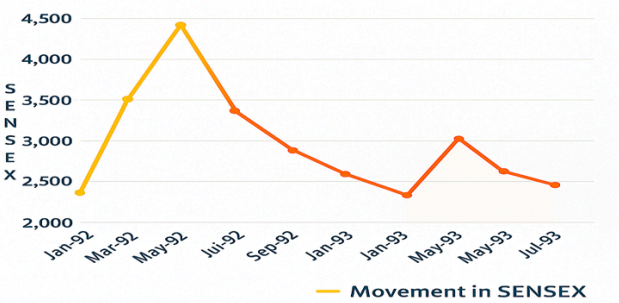
WHY IT OCCURRED? SYSTEM LOOPHOLES

- Manual, paper-based banking and trading systems where there without real-time verification.
- No central registry of BRs; it was easy to forge and duplicate BRs.
- Weak SEBI and fragmented oversight between the RBI, banks, and stock exchanges.
- Rampant collusion between brokers, bank officials, and dealers.



ECONOMIC IMPACT

Impact of Scam on Market



Regulatory and Institutional Overhaul Post-Scandal

- SEBI Act (1992):** Made SEBI a statutory regulator with powers to prevent insider trading and market manipulation.
- National Stock Exchange (NSE):** Introduced electronic, screen-based trading for transparency and fair pricing.
- Depositories Act (1996):** Enabled dematerialization, eliminating fake share certificates and paper fraud.
- Settlement Reform:** Reduced settlement cycle from T+5 to T+1, minimizing manipulation and speeding up transactions.
- RBI Oversight:** Standardized Ready Forward deals, strengthened audits, and separated banking from equity trading.



Market Collapse

The **BSE SENSEX** plunged from 4,500 to 2,500, marking a **44% crash** — one of the steepest in India's history.

Investor wealth worth **₹1,00,000 crores** was wiped out in weeks.

Scale of Fraud

₹5,000 crores siphoned through manipulation of banking receipts and ready-forward deals.

Equivalent to ₹2.3 trillion today, reflecting the massive financial distortion it caused



Market Manipulation and the Big Bull Bubble: A Lesson in Risk, Hype, and Herd Behavior



1. Reduce Concentration Risk Through Diversification

The Big Bull demonstrated how concentrated investments in a few, selected, overhyped stocks magnified unsystematic risk. Having exposure across industries, sectors, and asset types can reduce the standard deviation of the portfolio which serves to help stabilize returns and ultimately improve the risk-return profile.



2. Think Rationally : Avoid Behavioral Biases

The rally of 1992 was based on herd behavior, FOMO, and authority bias—three important findings in behavioral finance. The rational investor relies on expected return and probability-based judgment, not on social imitation or hype cycles.



3. Use Fundamental Analysis, Not Momentum Trading

Trading by Mehta also elicited a perception of profits and created a hindrance to investor perceptions of risk return. We need to evaluate companies based on something tangible, intrinsic value, valuation ratios rather than following price movement trends and trading based on momentum.



4. Perform Due Diligence to Avoid Information Asymmetry

Rumor-led investments ignored SEBI filings, audit trails and financial disclosures. Applying expected NPV and coefficient of variation (CV) analysis ensures that returns are justified by risk — not market noise or manipulation.



5. Manage Risk and Preserve Capital

The cardinal rule of investing is the preservation of capital rather than blind profit-seeking. The setting of stop-loss limits, asset allocation discipline, and the application of TVM principles insulate portfolios during periods of volatility.



6. Enhancing Leverage and Liquidity Discipline

Excessive leverage and delayed settlements were the causes of the 1992 scam. A modern system needs to enforce caps on leverage, liquidity buffers, and real-time clearing in order to avoid artificial price inflation and systemic risk.

BORROWED MONEY (LEVERAGE)

Traders borrowed money (leverage) to buy more shares, increasing demand and hence the stock prices.



THE PONZI LOOP The Self-Feeding



BUY SHARES
Quick gains attracted investors to join in, further inflating prices.

NEW INVESTORS JOIN
The system began to rely on constant new inflows, as, earlier profits came from new investors' money (a Ponzi-like loop)

COLLAPSE

INFLATED PRICES

When new funds slowed down, traders couldn't repay borrowed amounts, and panic selling began.

PANIC SELLING

The lack of liquidity and delayed settlement system made the fall sharper and uncontrollable.